

PABRAI INVESTMENT FUNDS

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To: All Limited Partners and Investors of the Pabrai Investment Funds
From: Mohnish Pabrai, Managing Partner
Date: January 14, 2014
Re: **2013 Results et. al.**

Dear Partners:

Happy New Year! December 31 was our annual redemption date. A total of \$37.8 Million was redeemed from the various funds in 2013. The redemptions on a per fund basis are:

PIF2: \$11.7 Million PIF3: \$3.0 Million PIF4: \$23.1 Million

Included in the above redemptions is \$6 Million from PIF2 by Dalal Street, Inc. This redemption was made primarily for my family to get liquidity to participate in the acquisition of a private insurance operation that I am in advanced negotiations to acquire. I would have loved to have Pabrai Funds acquire this business entirely, but Pabrai Funds is limited to investing in public equities and this insurance company is not a publicly traded business. More color on this investment later in the letter.

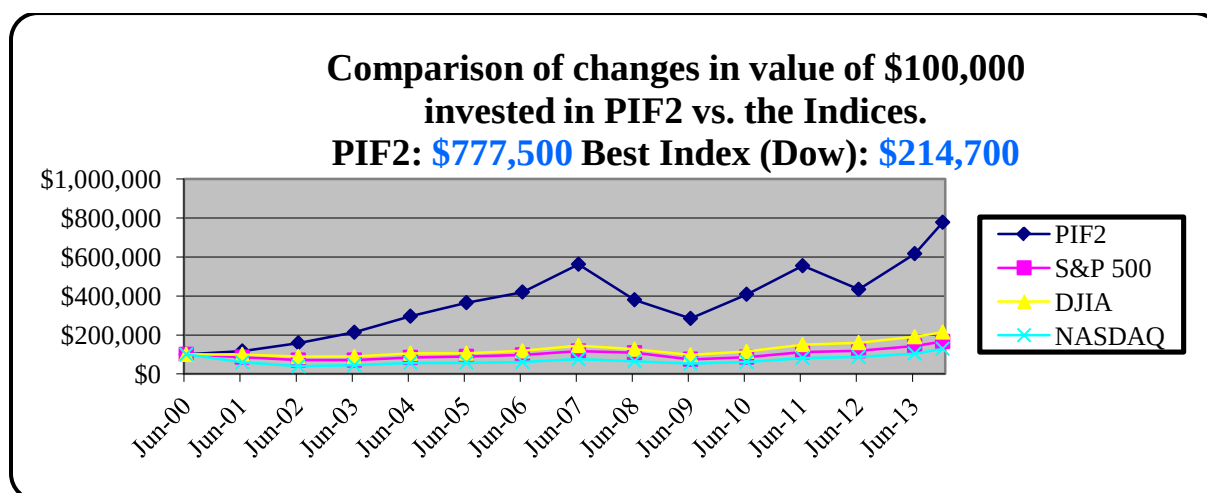
As a reminder, while PIF2 and PIF4 are closed to new investors (or additions from existing investors), PIF3 re-opened to new money from existing or new investors on August 1, 2012. PIF3 is our offshore fund for Accredited Investors and Institutions based outside the United States. To invest in PIF3, one needs to be a non-US accredited offshore investor, private foundation, endowment, or IRA.

The minimum investment to join as a new partner is \$2.5 million for individuals and \$10 million for IRAs/Foundations/Endowments. For current investors, the minimum addition to their current investment is \$25,000. The next opening is on February 1, 2014. If you are interested or would like more information, please contact Julie Teltscher or me at jteltscher@pabraifunds.com and mp@pabraifunds.com, respectively.

For the quarter ended December 31, 2013, \$2.1 million was added to PIF3 by existing and new partners. The updated performance numbers on all the funds are:

PABRAI INVESTMENT FUND 2 (US Accredited Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-0.2%	-41.0%	-14.0%	+17.4%
7/1/01-6/30/02	-10.3%	-32.7%	-18.0%	+35.3%
7/1/02-6/30/03	-0.5%	+11.4%	+0.3%	+34.2%
7/1/03-6/30/04	+18.6%	+26.8%	+19.1%	+38.7%
7/1/04-6/30/05	+0.7%	+1.1%	+6.3%	+23.4%
7/1/05-6/30/06	+11.1%	+6.5%	+8.6%	+15.0%
7/1/06-6/30/07	+23.0%	+20.7%	+20.6%	+34.0%
7/1/07-6/30/08	-13.3%	-11.2%	-13.1%	-32.4%
7/1/08-6/30/09	-23.0%	-19.1%	-26.2%	-25.2%
7/1/09-6/30/10	+18.9%	+16.0%	+14.4%	+43.6%
7/1/10-6/30/11	+30.4%	+32.9%	+30.7%	+35.8%
7/1/11-6/30/12	+5.2%	+5.4%	+3.9%	-21.8%
7/1/12-6/30/13	+18.9%	+17.8%	+20.6%	+42.2%
7/1/13-12/31/13	+12.5%	+23.6%	+16.3%	+26.1%
1/1/13-12/31/13	+29.6%	+40.2%	+32.4%	+50.0%
Annualized	+5.9%	+1.9%	+3.9%	+16.7%
Cumulative	+114.7%	+28.8%	+66.3%	+677.5%



PIF2 Investors:

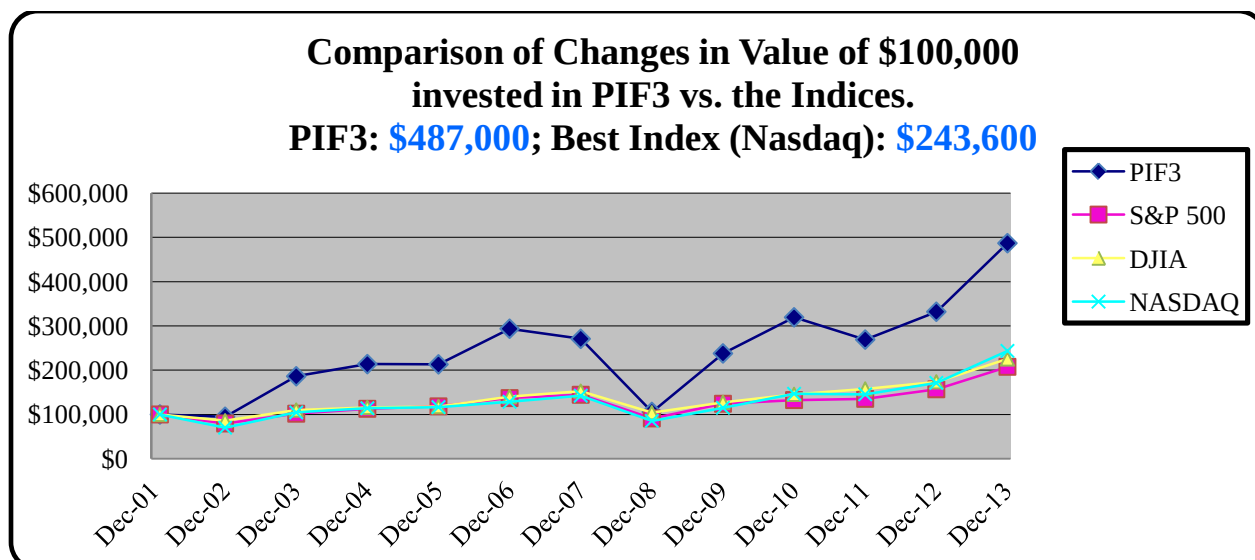
A \$100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 (\$197,900) was worth \$1,089,200 as of December 31, 2013 (net to investors). This equates to an annualized return of 17.9% since inception – after all management fees and expenses. The best index over the same period was the Dow and an investment of \$100,000 in the DJIA on July 1, 1999 was worth \$212,500 on December 31, 2013 – an annualized gain of 5.3%. The Dow gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3 (Offshore/IRA Investors) Performance Summary:

DJIA	NASDAQ	S&P 500	PIF3
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(net to investors)

2/1/02-12/31/02	-14.1%	-29.9%	-20.4%	-5.2%
1/1/03-12/31/03	+28.3%	+50.8%	+28.7%	+96.5%
1/1/04-12/31/04	+5.3%	+9.2%	+10.9%	+14.7%
1/1/05-12/31/05	+1.7%	+2.1%	+4.9%	-0.2%
1/1/06-12/31/06	+19.0%	+10.4%	+15.8%	+37.8%
1/1/07-12/31/07	+8.9%	+10.7%	+5.5%	-7.8%
1/1/08-12/31/08	-31.9%	-39.9%	-37.0%	-60.9%
1/1/09-12/31/09	+22.7%	+45.4%	+26.5%	+125.0%
1/1/10-12/31/10	+14.1%	+18.2%	+15.1%	+34.4%
1/1/11-12/31/11	+8.4%	-0.8%	+2.1%	-15.7%
1/1/12-12/31/12	+10.2%	+17.7%	+16.0%	+23.4%
1/1/13-12/31/13	+29.6%	+40.2%	+32.4%	+46.6%
Annualized	+7.1%	+7.8%	+6.3%	+14.2%
Cumulative	+125.4%	+143.6%	+107.7%	+387.0%



PIF3 Investors:

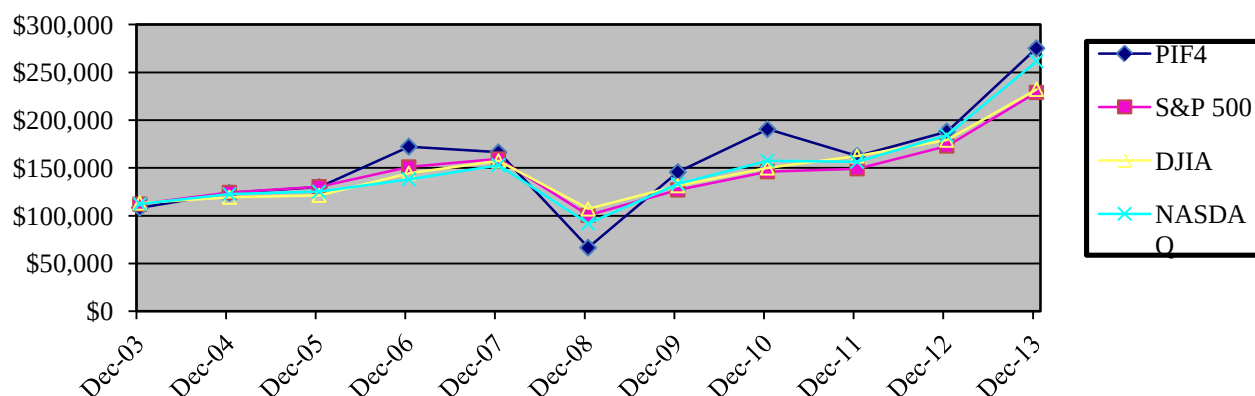
A \$100,000 investment in PIF3 at inception on February 1, 2002 was worth \$487,000 as of December 31, 2013 (net to investors). This equates to an annualized return of 14.2% since inception. The best index over the same period was the Nasdaq and an investment of \$100,000 in the Nasdaq on February 1, 2002 was worth \$243,600 on December 31, 2013 – an annualized gain of 7.8%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

PABRAI INVESTMENT FUND 4 (US Qualified Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	+13.4%	+12.3%	+12.2%	+8.4%

1/1/04-12/31/04	+5.3%	+9.2%	+10.9%	+14.4%
1/1/05-12/31/05	+1.7%	+2.1%	+4.9%	+4.9%
1/1/06-12/31/06	+19.0%	+10.4%	+15.8%	+32.4%
1/1/07-12/31/07	+8.9%	+10.7%	+5.5%	-3.4%
1/1/08-12/31/08	-31.9%	-39.9%	-37.0%	-60.0%
1/1/09-12/31/09	+22.7%	+45.4%	+26.5%	+118.8%
1/1/10-12/31/10	+14.1%	+18.2%	+15.1%	+30.7%
1/1/11-12/31/11	+8.4%	-0.8%	+2.1%	-14.8%
1/1/12-12/31/12	+10.2%	+17.7%	+16.0%	+16.1%
1/1/13-12/31/13	+29.6%	+40.2%	+32.4%	+46.0%
Annualized	+8.6%	+9.8%	+8.4%	+10.4%
Cumulative	+132.2%	+161.7%	+129.0%	+175.3%

**Comparison in Changes in Value of \$100,000
invested in PIF4 vs. the Indices.
PIF4: **\$275,300**; Best Index (Nasdaq): **\$261,700****



PIF4 Investors:

A \$100,000 investment in PIF4 at inception on October 1, 2003 was worth \$275,300 as of December 31, 2013 (net to investors). This equates to an annualized gain of 10.4% since inception. The best index over the same period was the Nasdaq and an investment of \$100,000 in the Nasdaq on October 1, 2003 was worth \$261,700 on December 31, 2013 – an annualized gain of 9.8%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

General Comments

2013 was a very good year for the stock market and the best year in a decade and a half for the S&P 500. The indices were up a robust 30-40% in 2013. Amazingly, Pabrai Funds did even better. The funds were up 46-50% for the year. At the risk of sounding like a broken record, please allow me to repeat that I do not fixate on 1-year numbers, and neither should you. What truly matters is how well we do over the long haul. And here the news is very good. All three funds have meaningfully outperformed all the indices over their respective lives.

We had another very welcome landmark in 2013. PIF3 went past its 2007 high plus 6% annualized in November. After nearly 6½ years of zero fees of any kind, I finally earned a fee of \$1.9 Million from PIF3 in 2013. The other two funds, PIF2 and PIF4, were just slightly below the 2007 high plus 6% annualized, hence no performance or management fees were payable in 2013. However, on the very first trading day of 2014, both PIF2 and PIF4 entered fee-earning territory. If they stay at that level when the next fee calculation is done, all three funds will be in performance fee-payable territory – good for investors and good for me.

Our drought of good new investment ideas continued through the end of 2013. Pabrai Funds has not made an investment in a new idea in over 18 months. Nonetheless, I am very pleased with the assets we own – and I am sure at some point in the not-too-distant future a good idea or two will surface. The hunt is on!

Acquisition of a Privately Held Insurer; Formation of Dhandho Holdings

I have had an interest for well over a decade in owning/controlling a high quality “float engine.” Property and Casualty Insurers represent the biggest category of float generators. Float is cash held by an insurance company to be paid out as claims are settled in the months, years and decades ahead. While many profitable insurers operate with sustained underwriting losses offset by investments of float, my interest is in acquiring insurance operations with a history of strong attention to underwriting profitability.

The proposed acquisition has exactly that type of attention and focus to underwriting at a profit. I believe they are likely to continue to generate significant underwriting profits over the long term. Thus the float that it holds has historically had a *less than zero cost*. This float can be invested in a variety of ways and gains on these investments represent an additional source of profitability. This type of well-run insurance operation *is in essence paid to hold other people’s money*. Even the very best run bank does not have such an advantage. Float is not an asset owned by any insurance company. However, the benefits (or costs) of holding that float accrue fully to the insurer.

I am in advanced negotiations to acquire this small, privately held high-quality Property & Casualty Insurance company. There are no plans to make any changes to the acquired insurance company other than yours truly taking over managing its investable assets and float.

Pabrai Funds has a mandate to invest only in publicly traded equities (stocks) and bonds. It cannot buy private businesses. Thus it cannot purchase this particular business. I could have pursued amendments/side pockets etc., but that is not the type of ride/entity most Pabrai Funds investors signed up for. Better to keep the vehicles separate and distinct.

To that end, I have formed a new holding company (Dhandho Holdings, LP – hereinafter referred to as “Dhandho”). The proposed acquisition is expected to require under \$32 Million in cash to acquire. In addition, 800,000 units (valued at \$10/unit) of Dhandho will be issued to the seller at closing. Dhandho has further agreed to strengthen the insurance company’s surplus capital by adding \$30 Million in capital by August 2015. Dhandho will seek to raise \$35-150 Million by April 30, 2014 in a private placement. Towards this end, my family and I intend to invest at least \$9 Million in this venture.

The minimum investment for investors is \$2 Million (\$1 Million for investments made by February 28th). This is not an offer to sell securities. If you are interested in investing in Dhandho, please email me at mp@dhandho-holdings.com or call me at 949-453-0609 so I can get you the offering and legal documents for careful review on a confidential basis. There are a variety of risk factors that are not laid out here, but more fully described in the offering documents.

After we have raised the minimum \$35 Million, we will focus on closing the acquisition at the earliest opportunity. The acquisition has more than a few wrinkles. The acquisition is subject to a variety of regulatory approvals including the Department of Insurance in the state it is domiciled. No assurances can be given that the acquisition will be completed or that the company will continue to generate underwriting profits after the acquisition.

Assuming we have raised the requisite capital and successfully acquired the business, I intend to pursue getting Dhandho listed on the Nasdaq Capital Market, the OTCBB, the OTCQX or a similar exchange. We intend to pursue an initial public offering at the time of our listing. Assuming pricing is reasonable, Pabrai Funds intends to participate in the IPO, investing about \$70 Million in Dhandho. Dhandho hopes to raise \$70-100 Million in the IPO. We hope to get listed as a public company as soon as practicable after completing the acquisition – probably sometime in 2015.

Thus Pabrai Funds and Dhandho will co-exist and both will be managed by me. These are distinctly different vehicles, but there is some overlap and potential conflict of interest. Both Pabrai Funds and Dhandho can (and will) invest in marketable securities. In the purchase or sale of marketable securities, Pabrai Funds will always go first. After its appetite is fully satisfied, then Dhandho would start its buying or selling. Going first is sometimes an advantage and sometimes a disadvantage. With this sequential, rule-based approach, the conflict is mostly eliminated. I have followed similar sequencing between the three Pabrai Funds for the last 10+ years and it has worked out quite satisfactorily.

For the acquisition of private businesses (insurance and non-insurance), there is no conflict since Pabrai Funds cannot buy these types of assets. Dhandho will typically prefer to buy high quality private businesses with high quality managements at sensible prices to investments in marketable securities. And every acquisition we ever plan to do is intended to be super-friendly. I have zero interest in hostile-anything.

Needless to say, I am quite excited about this added dimension to my life with Dhandho. It has plenty of challenges, but I am very much enjoying the learning as this journey gets underway.

Alignment of Interests

My immediate family has a stake of 276,318 units of PIF2, 8,417 units of PIF3, 1,224,824 units of PIF4; and about 33,000 units of PIF4 in a retirement account. In addition, the administrative team at Pabrai Funds owns about 1,300 units of PIF4 and about 5,900 units of PIF3 in various retirement accounts. The aggregate stake in Pabrai Funds of the Pabrai family and staff at Pabrai Funds is worth about \$57 million.

Pabrai Funds charges no management fee, just performance fees – which are ¼ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the second largest investor in the funds. Besides the proposed \$9 Million investment into Dhandho, my family and I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

The Hedge Fund That Ran For 6½ Years With Zero Fees!

The normal modus operandi at hedge funds that get deeply under water (like we did from 2007-13) is to simply shutter the operation and restart as a new entity. And instantly re-start the fees. I find such goalpost moving behavior nauseous.

In an industry with thousands of “2 and 20 funds,” it is rare to find one that operates with “zero and anything,” as Pabrai Funds does. At Pabrai Funds there are no annual management fees. I only get paid after investors get 6% annualized subject to high water marks. The last time such a fee was paid was June, 2007. And then we had a nearly 6½-year drought with zero fees. I think we may have set some kind of world record for the longest period a hedge fund ran with zero fees of any kind. Guinness, are you listening?

I am proud to be associated with all of you who stuck it out over these six lean years. Thank you! I am also proud of the fact that I did not try to change the arrangement with my investors when the going got tough. A deal is a deal. Our annual payroll and operating expenses at Dalal Street, LLC not reimbursed by the funds is over \$600,000/year. I carried that without a squeak from 2007-13. And I would have carried it for 20 more years without a squeak.

And all of it was only possible because ethics matters to me – and because we run one of the lowest cost operations of any hedge fund of similar size.

2013 Annual Meeting Transcript

The Annual Meeting transcript is posted on our website. Here is the link to the transcript:

http://www.pabraifunds.com/website/2013_PIF_AM_Transcript.pdf

The transcript is best read in conjunction with the presentation slides (the password to the video is “Warren”):

<https://vimeo.com/74141255>

P.S: Turn up the volume!

Keynote Speaker at TiECON Southwest

I was the keynote speaker at TiECON Southwest held in Cerritos, California on November 9, 2013.

Here is the link to my presentation:

<http://www.youtube.com/watch?v=2hQSON7RQZs>

Value Investing Lecture to Boston College MBA students

I lectured via Skype to MBA students at Carroll School of Management (Boston College) on November 19, 2013. You can watch the session on Youtube:

<http://youtu.be/ot6pzc9ZwfU>

Alternatively, here is the link to the transcript:

http://www.pabraifunds.com/website/Carroll_2013_Transcript.pdf

Global Association of Risk Professionals (GARP) Interview and Wall Street Journal Article

GARP published an article, “Mohnish Pabrai on Cloning as a Strategy” on October 29, 2013. Here is the link to the article:

http://www.pabraifunds.com/website/GARP_Interview_10.29.13.pdf

The Wall Street Journal published an article on the benefits of investment checklists, “Make a List, Check It Twice” on December 13, 2013 with a few quotes from me. Here is the link to the article:

<http://on.wsj.com/1cswJRF>

Lecture at Management Development Institute (MDI) in Gurgaon, India

On December 26, 2013 I did a value investing Q&A session with Professor Sanjay Bakshi’s MBA students at the Management Development Institute (MDI) in Gurgaon, India. Here is the link to this lecture:

<http://fundooprofessor.wordpress.com/2014/01/15/mohnish-pabrai-lecture-mdi/>

Annual Report – Will be out in April, 2014

The annual report is slated to be published in late April, 2014 – after the audit reports are out. We’ll continue to have 4 quarterly letters like this one. However, general commentary in these quarterly missives is now minimal.

Final K-1’s (for US Investors)

For PIF2 and PIF4 investors, we expect your final K-1s to be emailed to you (password protected) by March 31, 2014.

Privacy Policy

Dalal Street, LLC, Managing Partner/Director of Pabrai Investment Funds 2, Pabrai Investment Funds 3, and Pabrai Investment Funds 4, is required by law to inform investors annually of our policy regarding privacy of client information. Here is the link to the Privacy Policy - [Privacy Policy](#)

2014 Annual Meetings – Save the Date

As is our usual modus operandi, there will be two annual meetings sequentially at Orange County, California & Chicago, Illinois.

The **California** meeting is scheduled to be on **Saturday, Sept. 13, 2014** at 4:00 PM at:

Soka University

Performing Arts Center

1 University Drive, Aliso Viejo, California 92656

Tel. +1949.480.4000

Soka University has a spectacular campus nestled in the scenic hills of Aliso Viejo. It is a 20 minute drive from Orange County Airport (SNA), and about an hour drive from LAX.

There is a fantastic Marriott Club Sport hotel about 3 miles from Soka University:

Marriott Renaissance ClubSport

50 Enterprise

Aliso Viejo, CA 92656

Reservations: 800-468-3571

Phone: 949-643-6700

There are many hotels in the area. Here is a link to other hotels near Soka University:

<http://tinyurl.com/8dmevvu>

The **Chicago** meeting is thus scheduled to be on **Saturday, Sept. 20, 2014** at 4:00 PM at:

Carlucci's Restaurant

(The Auditorium)

6111 North River Road, Rosemont, Illinois 60018

Tel. +1847.518.0990

Carlucci's is a five minute taxi ride away from O'Hare airport. [The Marriott Suites O'Hare](#) and [The Westin O'Hare](#) are both next to the restaurant. In addition, there are a plethora of hotels in the vicinity. Good deals on O'Hare hotels are usually available on the major travel-related websites.

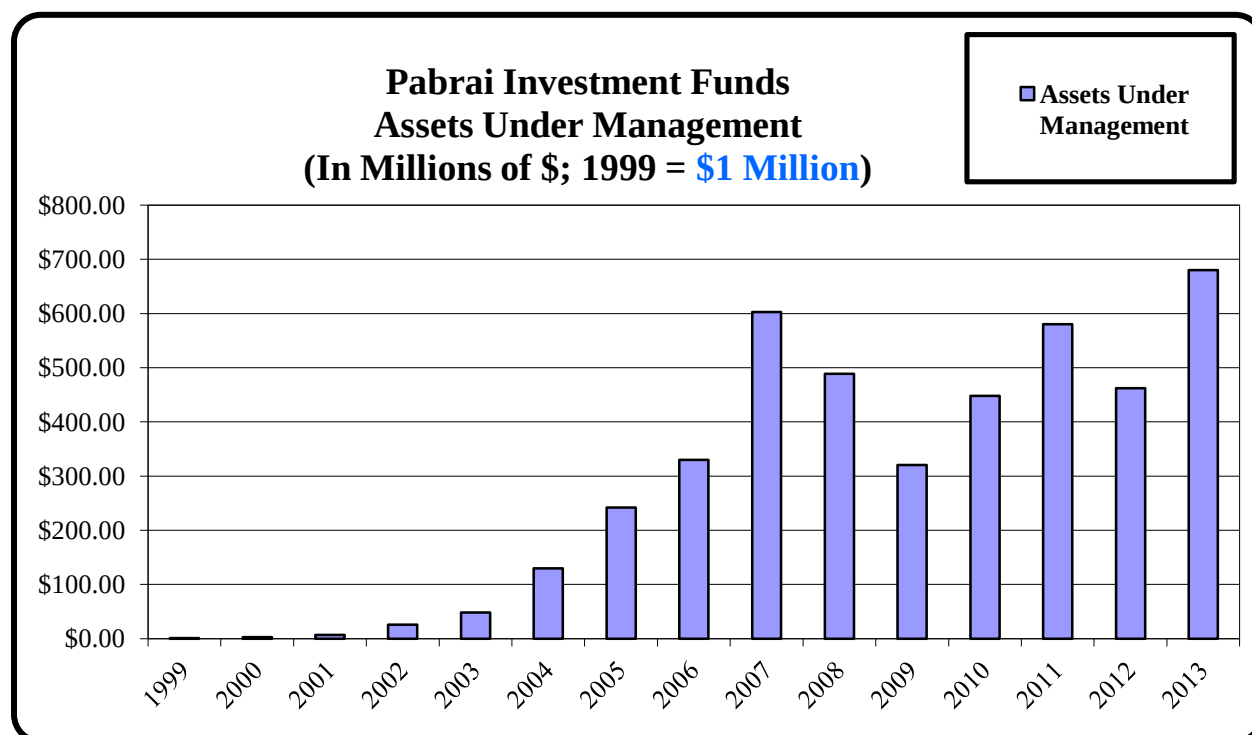
Agenda:

4:00 – 4:30 PM:	Meet and Greet
4:30 – 6:30 PM:	Presentation and Q&A
6:30 – 7:15 PM:	Cocktail Hour
7:15 PM:	Dinner

The invites will go out in July, 2014. Your significant other and kids of all ages are welcome to attend. I look forward to seeing you in September.

Assets Under Management

There is \$680 million in assets under management between all the funds as of December 31, 2013.



Thanks for your continued interest, referrals and support. Feel free to call me at +1949.453.0609 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

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Appendix

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/1/2000	\$10.00
330,014	6/30/2001	\$11.74
1,027,795	6/30/2002	\$15.89
1,950,982	6/30/2003	\$21.32
2,445,212	6/30/2004	\$29.58
2,696,687	6/30/2005	\$36.52
2,646,687	6/30/2006	\$41.99
3,013,111	6/30/2007	\$56.25
2,934,990	6/30/2008	\$38.01
2,468,091	6/30/2009	\$28.45
2,409,165	6/30/2010	\$40.84
2,257,421	6/30/2011	\$55.46
2,180,892	6/30/2012	\$43.36
2,057,676	6/30/2013	\$61.68
2,057,676	9/30/2013	\$68.83
1,906,927	12/31/2013	\$77.75

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	2/1/2002	\$10.00
265,919	12/31/2002	\$9.48
485,041	12/31/2003	\$18.63
1,774,753	12/31/2004	\$21.37
2,478,793	12/31/2005	\$21.32
2,930,608	12/31/2006	\$29.37
6,438,615	12/31/2007	\$27.09
5,415,189	12/31/2008	\$10.57
5,038,658	12/31/2009	\$23.79
4,885,267	12/31/2010	\$31.95
4,701,613	12/31/2011	\$26.92
4,318,818	12/31/2012	\$33.21
4,384,591	12/31/2013	\$48.70

PIF4's Performance History (Net to Investors)

No. of	Date	PIF4 NAV
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Units		
595,030	10/1/2003	\$10.00
1,219,330	12/31/2003	\$10.84
5,627,712	12/31/2004	\$12.40
9,314,803	12/31/2005	\$13.01
11,528,331	12/31/2006	\$17.23
16,899,746	12/31/2007	\$16.64
15,737,042	12/31/2008	\$6.66
15,725,066	12/31/2009	\$14.57
15,251,129	12/31/2010	\$19.05
14,493,713	12/31/2011	\$16.24
12,398,564	12/31/2012	\$18.85
11,560,683	12/31/2013	\$27.53